T-12 OPERATING STATEMENT

Heritage Scholars Hall | Columbus, OH

Property	Heritage Scholars Hall
Period Ending	June 27, 2023
Basis	Accrual - Trailing 12 Months
Prepared By	Harbor Point Management Group
Size	173 beds

Trailing 12-Month Operating Statement (Detail)

Account	Nov	Dec	Jan	Feb	Mar	Apr	May	Jun	Jul	Aug	Sep	Oct	T-12
4000 Gross Potential Rent	181,540	178,557	180,382	172,612	169,602	175,101	175,934	160,304	166,725	162,929	180,823	178,916	2,083,426
4010 Loss to Lease	4,649	4,738	4,733	4,757	4,714	4,547	4,605	4,538	4,467	4,509	4,603	4,633	55,495
4020 Vacancy Loss	96,029	87,620	95,962	93,499	87,641	96,290	96,212	88,238	96,683	98,465	90,879	94,863	1,122,380
4030 Concessions	40,849	43,086	44,863	39,933	44,675	42,004	40,843	44,236	44,393	39,964	43,595	41,084	509,524
4040 Bad Debt	113,354	120,790	113,525	127,508	116,679	127,173	114,761	126,670	120,827	117,951	121,234	115,480	1,435,951
4050 Late Fees	25,030	24,916	24,874	23,712	23,429	23,959	22,773	22,755	23,555	23,896	23,754	24,967	287,619
4060 Utility Reimbursements	137,458	136,228	141,600	126,428	140,389	126,200	131,768	140,538	134,434	140,625	128,554	133,309	1,617,531
4070 Parking Income	84,401	86,064	83,676	86,181	82,168	93,335	82,982	82,688	84,690	88,276	93,871	91,647	1,039,980
4080 Application Fees	133,881	133,321	133,791	149,020	143,685	135,243	145,356	132,470	142,312	141,636	132,646	130,798	1,654,159
4090 Pet Rent	46,315	46,340	50,522	51,760	47,967	51,316	47,727	46,935	52,048	46,391	51,769	51,053	590,144
4100 Laundry Income	21,661	22,869	23,385	21,761	23,340	22,095	22,268	21,882	21,912	21,857	22,859	24,488	270,378
4110 Cable/Internet Revenue	151,983	147,145	145,740	159,469	149,339	144,779	155,806	151,136	155,932	148,016	145,453	145,318	1,800,116
4120 CAM Reimbursements	102,046	102,838	96,087	101,128	95,810	101,926	97,275	104,653	104,103	104,717	98,139	97,911	1,206,632
4130 Tax Reimbursements	9,217	9,559	9,963	9,626	9,418	10,184	9,895	9,071	9,732	9,892	10,096	9,380	116,033
4140 Insurance Reimbursemen	57,977	62,111	55,406	60,936	55,783	56,376	54,747	62,200	57,125	55,860	59,020	56,778	694,319
4150 Percentage Rent	142,550	127,301	127,413	136,360	134,350	138,414	137,545	137,980	127,713	135,087	141,641	141,998	1,628,352
4160 Misc. Income	60,870	58,697	59,425	63,495	56,615	61,581	57,763	61,475	57,854	63,733	63,801	58,355	723,663
4170 Payroll - Management	16,565	16,385	17,316	16,117	17,540	16,050	16,488	17,569	16,598	17,279	16,118	16,455	200,481
4180 Payroll - Leasing	14,041	13,077	13,349	13,150	13,934	13,850	14,861	14,249	13,173	14,887	14,713	14,684	167,970
4190 Payroll - Maintenance	8,035	8,760	8,547	9,026	8,980	8,864	8,655	8,079	8,275	8,191	8,885	9,115	103,412
4200 Payroll Taxes & Benefits	14,387	12,585	13,682	13,874	13,093	12,896	14,234	12,940	14,252	14,100	12,575	14,327	162,943
4210 Repairs - Plumbing	18,861	17,953	16,888	17,168	17,075	16,817	19,042	16,974	18,481	17,770	17,795	17,862	212,686
4220 Repairs - HVAC	10,114	10,533	11,409	11,060	10,378	10,737	10,123	10,063	10,939	11,387	11,350	10,898	128,991
4230 Repairs - Electrical	6,607	6,669	7,434	7,093	7,084	6,945	7,011	7,059	7,212	6,612	6,635	6,572	82,935
4240 Repairs - Appliances	15,226	14,845	14,757	14,273	14,581	14,060	15,237	14,610	14,988	14,698	15,390	14,433	177,099
4250 Painting & Decorating	8,565	8,688	8,785	8,165	9,048	8,482	8,636	8,192	8,496	8,990	8,668	8,555	103,270
4260 Flooring	11,681	11,261	10,654	11,922	10,903	10,925	11,156	11,477	10,626	11,910	11,613	10,924	135,053

Report generated 06/27/2023. Figures are unaudited and subject to change.

FICTITIOUS SAMPLE DOCUMENT — all names, figures and entities are invented for classroom training use only

Trailing 12-Month Operating Statement (Detail)

Account	Nov	Dec	Jan	Feb	Mar	Apr	May	Jun	Jul	Aug	Sep	Oct	T-12
4460 Management Fee	18,774	18,295	19,202	20,150	19,733	20,054	19,982	18,328	19,443	18,338	19,319	18,351	229,968
4470 Property Insurance	4,653	4,796	4,572	5,016	5,055	4,977	4,794	4,679	4,480	5,053	4,810	4,815	57,702
4480 Real Estate Taxes	9,166	8,917	8,800	8,360	9,010	8,670	8,547	8,561	8,460	8,361	9,334	9,011	105,197
4490 Asset Management Fee	6,192	6,277	6,331	6,330	6,207	6,094	5,584	6,366	6,101	6,068	5,633	6,155	73,338
4500 Replacement Reserves	15,692	14,162	15,588	14,324	14,077	14,028	14,018	15,372	15,257	14,242	14,852	15,144	176,756
4510 Roof Repairs	14,061	14,793	15,457	14,071	14,287	14,786	14,776	14,920	14,376	15,605	14,691	15,301	177,125
4520 Parking Lot Repairs	10,435	9,876	9,819	10,200	10,694	9,639	9,962	10,449	9,354	9,643	10,627	10,126	120,824
4530 Signage	4,622	4,980	5,112	5,021	4,610	4,828	4,954	5,066	4,779	5,185	5,039	4,704	58,900
4540 Tenant Improvements	18,099	19,268	19,856	18,633	18,880	19,136	19,657	18,233	18,561	18,447	17,654	18,213	224,635
4550 Leasing Commissions	4,108	3,893	4,102	3,755	4,014	4,101	3,959	3,792	3,724	4,003	3,890	4,126	47,466
4000 Gross Potential Rent	171,379	172,205	174,117	164,882	176,131	173,666	161,854	164,938	174,727	179,361	164,737	163,944	2,041,940
4010 Loss to Lease	113,763	106,276	113,945	112,540	107,697	117,142	105,419	105,716	103,668	104,963	116,298	113,931	1,321,360
4020 Vacancy Loss	28,725	28,494	26,235	26,227	25,524	28,454	27,475	26,248	28,809	27,852	29,096	29,054	332,193
4030 Concessions	56,741	58,001	57,470	57,935	59,478	55,951	57,892	57,632	58,786	56,687	54,995	56,061	687,629
4040 Bad Debt	74,142	77,847	79,735	79,878	73,461	81,833	77,365	78,516	80,462	74,868	74,765	73,900	926,773
4050 Late Fees	148,930	139,566	135,915	134,845	140,674	148,938	135,299	135,392	132,435	134,405	148,682	133,987	1,669,069
4060 Utility Reimbursements	54,162	52,748	53,644	52,923	51,586	49,413	50,977	48,230	48,274	49,470	54,290	47,541	613,259
4070 Parking Income	75,542	73,169	78,649	73,926	80,472	73,473	79,195	74,621	79,044	78,968	74,592	75,273	916,926
4080 Application Fees	109,004	115,054	120,363	121,691	118,875	120,697	124,084	121,123	118,876	122,993	120,132	117,957	1,430,848
4090 Pet Rent	158,747	153,950	149,635	142,324	150,013	139,511	157,657	151,882	155,526	153,221	158,200	145,838	1,816,504
4100 Laundry Income	13,200	13,633	12,727	12,446	12,618	13,849	13,129	13,199	12,772	12,559	13,682	12,789	156,602
4110 Cable/Internet Revenue	83,143	81,760	86,497	90,701	92,110	83,873	86,941	91,275	87,693	83,799	90,177	89,015	1,046,985
4120 CAM Reimbursements	47,886	44,267	46,947	45,432	49,823	50,370	50,204	46,550	46,691	49,646	45,159	49,290	572,265
4130 Tax Reimbursements	150,349	146,159	142,960	142,745	147,463	140,618	154,807	143,573	147,339	150,883	147,920	152,592	1,767,407
4140 Insurance Reimbursemen	54,353	54,859	56,307	55,049	55,560	55,448	51,321	57,039	53,645	57,542	58,096	56,737	665,956
4150 Percentage Rent	158,105	153,473	142,241	145,674	149,675	148,383	155,711	157,332	149,185	156,277	150,379	153,329	1,819,765
4160 Misc. Income	34,854	33,838	32,541	34,665	34,492	32,912	35,298	32,224	31,987	32,482	33,464	33,688	402,443
4170 Payroll - Management	15,409	15,490	16,225	15,521	17,129	17,576	16,251	16,818	17,049	16,607	16,241	15,656	195,972
4180 Payroll - Leasing	16,799	16,214	17,427	16,988	16,351	17,017	17,184	18,055	17,149	18,361	16,493	16,710	204,746
4190 Payroll - Maintenance	8,174	8,556	7,617	8,019	8,137	7,867	7,794	8,260	8,143	7,990	8,154	7,761	96,472
4200 Payroll Taxes & Benefits	14,030	13,883	14,905	15,147	13,590	15,489	15,360	15,434	15,260	13,853	14,094	14,071	175,116
4210 Repairs - Plumbing	9,403	9,285	9,455	9,918	9,184	10,338	9,073	9,490	9,765	9,489	9,598	9,464	114,463
4220 Repairs - HVAC	10,081	9,533	9,358	9,196	9,408	9,094	9,708	9,570	10,228	9,588	10,009	9,470	115,243
4230 Repairs - Electrical	7,252	7,603	7,525	7,425	7,553	7,019	7,232	7,559	7,628	7,376	7,254	7,419	88,844
4240 Repairs - Appliances	19,308	18,917	18,428	19,225	18,291	18,018	18,357	18,075	18,157	19,349	17,477	19,277	222,881
4250 Painting & Decorating	10,581	10,389	10,531	10,939	10,902	11,029	10,744	11,220	10,653	10,715	11,241	11,557	130,499
4260 Flooring	9,937	9,337	9,195	9,101	9,902	9,702	9,506	8,672	8,980	9,457	8,674	9,065	111,529
4270 Make-Ready / Turnover	3,264	3,251	3,228	3,185	3,073	3,109	3,107	3,190	2,937	2,969	3,069	2,922	37,306
4280 Landscaping Contract	8,357	8,597	7,812	8,403	7,807	8,541	7,979	8,437	8,856	8,347	8,164	8,319	99,620
4290 Snow Removal	13,093	12,727	13,642	13,683	14,062	13,517	13,683	14,200	13,398	13,616	14,027	13,911	163,560
4300 Janitorial	7,796	7,180	7,279	7,370	7,480	7,227	7,160	8,036	7,706	7,879	7,644	7,926	90,682
4310 Pest Control	17,460	16,927	16,206	16,866	16,142	15,867	16,290	15,953	15,381	16,392	15,762	15,414	194,659
4320 Trash Removal	6,968	7,068	6,635	6,513	6,953	6,381	6,863	7,086	6,441	6,915	6,694	6,892	81,410
4330 Elevator Contract	17,540	15,980	17,622	16,412	16,882	15,975	16,526	15,811	16,960	15,778	17,777	16,388	199,649
4340 Fire & Life Safety	12,377	11,544	11,749	11,202	11,154	12,226	11,057	11,613	11,931	11,373	11,626	11,899	139,752
4350 Security	17,913	19,878	18,010	19,766	19,565	20,128	20,240	19,600	19,647	19,065	18,271	18,329	230,413

Report generated 06/27/2023. Figures are unaudited and subject to change.

FICTITIOUS SAMPLE DOCUMENT — all names, figures and entities are invented for classroom training use only

Financial Analysis

Operating expenses totaled $62,000 or approximately 47.34 per square foot, with real estate taxes representing the largest line item. Effective gross income for the trailing period was $73,000, representing a 4.6% increase over the prior year. Management fees are calculated at 4.0% of collected revenue and are included in operating expenses. Net operating income is projected to grow at a compound annual rate of 4.2% over the hold period. Amenities include study lounges, a rooftop terrace, 24-hour fitness and a game room.

The property is located 5 blocks from the main campus with a dedicated shuttle serving fall and spring terms. Amenities include study lounges, a rooftop terrace, 24-hour fitness and a game room. The going-in capitalization rate of 6.61% reflects the in-place income and the stabilized occupancy assumption. Effective gross income for the trailing period was $419,000, representing a 9.8% increase over the prior year. Debt service coverage ratio was 6.07x on a trailing basis against a covenant minimum of 1.20x.

Management Commentary

The manager completes a monthly walk of the property and submits a variance report to the owner by the 26th business day. Amenities include study lounges, a rooftop terrace, 24-hour fitness and a game room. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. Collections for the period were 91.8% of billed charges, with bad debt of 6.1% of gross potential income. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period.

Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. Pre-leasing for the coming academic year stands at 88.6% with rental rates per bed averaging $1,299. Collections for the period were 90.9% of billed charges, with bad debt of 5.3% of gross potential income. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. The property is located 4 blocks from the main campus with a dedicated shuttle serving fall and spring terms. The manager completes a monthly walk of the property and submits a variance report to the owner by the 44th business day.

Financial Analysis

A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. The going-in capitalization rate of 7.39% reflects the in-place income and the stabilized occupancy assumption. Pre-leasing for the coming academic year stands at 90.9% with rental rates per bed averaging $1,299. Amenities include study lounges, a rooftop terrace, 24-hour fitness and a game room. Debt service coverage ratio was 7.99x on a trailing basis against a covenant minimum of 1.20x.

The going-in capitalization rate of 6.87% reflects the in-place income and the stabilized occupancy assumption. The property is located 8 blocks from the main campus with a dedicated shuttle serving fall and spring terms. Amenities include study lounges, a rooftop terrace, 24-hour fitness and a game room. Management fees are calculated at 5.4% of collected revenue and are included in operating expenses. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income.

Management Commentary

The manager completes a monthly walk of the property and submits a variance report to the owner by the 43th business day. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. Pre-leasing for the coming academic year stands at 94.6% with rental rates per bed averaging $1,299. The property is located 5 blocks from the main campus with a dedicated shuttle serving fall and spring terms.

The community is leased by the bed on individual lease liability with parent guaranties and furnished units. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. The property is located 3 blocks from the main campus with a dedicated shuttle serving fall and spring terms. Amenities include study lounges, a rooftop terrace, 24-hour fitness and a game room.

Income and Expense Review

The going-in capitalization rate of 7.76% reflects the in-place income and the stabilized occupancy assumption. Debt service coverage ratio was 6.68x on a trailing basis against a covenant minimum of 1.20x. Effective gross income for the trailing period was $143,000, representing a 5.2% increase over the prior year. Operating expenses totaled $207,000 or approximately 36.83 per square foot, with real estate taxes representing the largest line item.

FICTITIOUS SAMPLE DOCUMENT — all names, figures and entities are invented for classroom training use only

Trailing 12-Month Operating Statement (Detail)

Account	Nov	Dec	Jan	Feb	Mar	Apr	May	Jun	Jul	Aug	Sep	Oct	T-12
4320 Trash Removal	10,840	11,292	10,192	10,138	11,025	10,108	11,172	10,448	10,114	10,424	10,750	11,097	127,601
4330 Elevator Contract	18,144	18,169	18,401	18,576	16,743	16,730	17,066	16,540	17,497	18,087	16,789	16,938	209,680
4340 Fire & Life Safety	12,473	11,367	11,879	12,040	11,860	12,319	11,163	11,639	12,553	11,226	12,474	12,140	143,132
4350 Security	12,865	14,181	12,684	13,998	13,098	14,114	13,964	12,576	12,920	13,032	13,609	13,849	160,889
4360 Electricity - Common	16,998	18,458	19,189	17,112	17,444	17,607	18,889	16,797	16,773	16,780	17,483	18,150	211,680
4370 Gas - Common	4,685	4,305	4,790	4,471	4,398	4,327	4,388	4,722	4,335	4,720	4,711	4,672	54,524
4380 Water & Sewer	20,261	18,179	18,153	20,274	20,405	19,771	20,240	19,077	19,038	19,892	19,853	20,725	235,868
4390 Telephone/Internet	4,731	4,997	4,548	4,529	4,539	4,717	4,889	4,555	4,675	4,833	4,903	4,700	56,617
4400 Advertising	4,776	4,421	4,505	4,573	4,782	4,424	4,764	4,737	4,698	4,448	4,497	4,605	55,230
4410 Resident Events	8,169	8,391	8,678	8,304	8,310	7,575	8,378	8,323	8,693	7,672	8,301	7,710	98,504
4420 Office Supplies	2,588	2,743	2,683	2,913	2,784	2,738	2,857	2,888	2,773	2,938	2,693	2,641	33,237
4430 Legal & Professional	6,548	6,396	6,911	7,254	6,386	6,468	6,943	7,147	6,372	6,887	7,052	6,703	81,068
4440 Accounting & Audit	3,738	3,746	3,394	3,660	3,548	3,695	3,581	3,553	3,465	3,816	3,453	3,526	43,174
4450 Licenses & Permits	3,371	3,312	3,390	3,300	3,333	3,558	3,489	3,628	3,338	3,632	3,598	3,589	41,538
4460 Management Fee	14,302	13,388	14,130	13,465	14,018	13,362	13,360	13,927	15,261	13,619	14,947	13,814	167,592
4470 Property Insurance	18,655	20,753	20,359	20,201	19,149	18,848	21,008	18,680	20,467	20,452	20,178	19,374	238,125
4480 Real Estate Taxes	2,101	2,002	2,265	2,079	2,112	2,146	2,015	2,131	1,986	2,088	2,158	2,011	25,093
4490 Asset Management Fee	3,556	3,722	3,326	3,675	3,261	3,562	3,482	3,518	3,282	3,431	3,517	3,685	42,019
4500 Replacement Reserves	5,355	5,119	5,117	4,813	5,181	4,926	5,293	4,801	5,049	4,903	4,704	5,386	60,647
4510 Roof Repairs	1,704	1,750	1,849	1,824	1,880	1,865	1,809	1,749	1,704	1,852	1,704	1,717	21,408
4520 Parking Lot Repairs	18,026	19,005	18,318	20,031	19,717	19,559	18,310	20,307	18,931	18,941	20,032	19,126	230,303
4530 Signage	18,813	18,630	17,839	18,355	17,981	19,684	19,525	19,577	18,410	18,392	19,887	20,081	227,174
4540 Tenant Improvements	7,229	7,062	7,142	6,772	7,275	6,915	6,775	6,736	6,848	7,543	7,423	7,238	84,957
4550 Leasing Commissions	15,201	14,164	14,613	14,958	14,622	14,120	14,909	15,700	14,285	14,499	14,075	14,582	175,728
4000 Gross Potential Rent	178,614	176,257	166,618	173,351	167,753	170,478	171,110	170,057	168,302	174,940	170,126	170,334	2,057,941
4010 Loss to Lease	81,579	89,297	92,793	81,985	84,109	93,361	91,487	91,119	87,971	86,453	92,175	89,248	1,061,577
4020 Vacancy Loss	38,026	34,852	38,846	36,308	36,348	36,694	36,825	36,663	35,784	35,092	37,745	37,475	440,658
4030 Concessions	88,998	87,871	93,736	92,809	82,488	83,326	86,545	91,239	89,485	92,105	87,278	88,603	1,064,484
4040 Bad Debt	89,189	90,332	97,629	93,756	89,551	92,646	93,920	96,707	92,349	88,152	88,812	97,591	1,110,634
4050 Late Fees	30,862	31,200	33,028	31,377	33,104	31,187	29,542	29,990	33,031	30,452	30,592	29,932	374,296
4060 Utility Reimbursements	46,966	48,701	49,183	48,817	47,842	47,488	47,367	44,664	45,160	45,754	46,278	47,971	566,192
4070 Parking Income	42,851	46,408	44,025	46,219	47,858	48,903	45,614	44,920	48,357	45,137	45,567	43,104	548,963
4080 Application Fees	138,406	151,962	154,100	149,756	155,058	141,585	152,430	148,631	149,584	150,547	152,455	150,182	1,794,696
4090 Pet Rent	90,829	89,373	99,685	93,346	94,276	96,215	96,045	95,437	95,430	95,335	91,545	88,388	1,125,905
4100 Laundry Income	36,970	35,501	33,912	33,829	35,448	35,730	37,758	37,591	37,448	37,098	36,427	34,865	432,577
4110 Cable/Internet Revenue	126,900	136,106	124,871	127,957	136,548	140,251	135,543	140,094	134,636	128,006	128,140	123,139	1,582,191
4120 CAM Reimbursements	136,766	129,872	127,688	128,311	138,382	131,803	128,284	136,975	134,964	140,000	130,989	135,898	1,599,933
4130 Tax Reimbursements	152,514	146,239	149,403	151,791	148,564	141,275	145,302	144,649	143,962	155,186	155,409	138,415	1,772,709
4140 Insurance Reimbursemen	46,081	48,767	48,897	46,868	47,940	44,858	44,587	46,290	45,205	49,176	47,093	46,497	562,258
4150 Percentage Rent	9,706	9,881	9,220	9,256	9,760	9,863	9,843	10,157	9,755	9,342	10,112	9,732	116,627
4160 Misc. Income	105,576	116,150	105,725	117,070	116,452	105,892	103,115	108,846	113,936	115,832	108,357	108,102	1,325,054
4170 Payroll - Management	7,716	7,898	7,393	7,964	7,660	7,650	7,074	7,201	7,460	7,985	7,681	7,540	91,221
4180 Payroll - Leasing	10,319	10,978	11,113	10,444	11,039	11,372	11,367	10,025	10,401	10,302	10,363	10,503	128,225
4190 Payroll - Maintenance	14,299	13,453	13,846	14,146	13,094	14,415	14,273	14,328	13,489	13,151	13,592	14,798	166,885

Report generated 06/27/2023. Figures are unaudited and subject to change.

FICTITIOUS SAMPLE DOCUMENT — all names, figures and entities are invented for classroom training use only

Income and Expense Review

Net operating income is projected to grow at a compound annual rate of 5.5% over the hold period. Operating expenses totaled $203,000 or approximately 12.78 per square foot, with real estate taxes representing the largest line item. Debt service coverage ratio was 5.83x on a trailing basis against a covenant minimum of 1.20x. The property is located 4 blocks from the main campus with a dedicated shuttle serving fall and spring terms. Pre-leasing for the coming academic year stands at 91.9% with rental rates per bed averaging $1,299.

The going-in capitalization rate of 5.34% reflects the in-place income and the stabilized occupancy assumption. Amenities include study lounges, a rooftop terrace, 24-hour fitness and a game room. Debt service coverage ratio was 5.42x on a trailing basis against a covenant minimum of 1.20x. Management fees are calculated at 6.4% of collected revenue and are included in operating expenses. The community is leased by the bed on individual lease liability with parent guaranties and furnished units.

Property Operations

Collections for the period were 88.6% of billed charges, with bad debt of 7.9% of gross potential income. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. The community is leased by the bed on individual lease liability with parent guaranties and furnished units. The manager completes a monthly walk of the property and submits a variance report to the owner by the 30th business day. Pre-leasing for the coming academic year stands at 94.3% with rental rates per bed averaging $1,299.

The community is leased by the bed on individual lease liability with parent guaranties and furnished units. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. Pre-leasing for the coming academic year stands at 92.7% with rental rates per bed averaging $1,299. Amenities include study lounges, a rooftop terrace, 24-hour fitness and a game room.

Operating Performance

Management fees are calculated at 4.7% of collected revenue and are included in operating expenses. Amenities include study lounges, a rooftop terrace, 24-hour fitness and a game room. Debt service coverage ratio was 5.96x on a trailing basis against a covenant minimum of 1.20x. Pre-leasing for the coming academic year stands at 94.2% with rental rates per bed averaging $1,299. The going-in capitalization rate of 6.98% reflects the in-place income and the stabilized occupancy assumption.

Management fees are calculated at 5.5% of collected revenue and are included in operating expenses. Effective gross income for the trailing period was $309,000, representing a 5.1% increase over the prior year. The going-in capitalization rate of 6.17% reflects the in-place income and the stabilized occupancy assumption. Operating expenses totaled $449,000 or approximately 21.15 per square foot, with real estate taxes representing the largest line item. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income.

Leasing and Marketing

The property is located 4 blocks from the main campus with a dedicated shuttle serving fall and spring terms. Collections for the period were 96.7% of billed charges, with bad debt of 3.5% of gross potential income. Amenities include study lounges, a rooftop terrace, 24-hour fitness and a game room. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. Service requests are tracked through a work-order system with an average completion time of 45 hours. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period.

Collections for the period were 95.2% of billed charges, with bad debt of 6.5% of gross potential income. The community is leased by the bed on individual lease liability with parent guaranties and furnished units. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. The property is located 6 blocks from the main campus with a dedicated shuttle serving fall and spring terms. Pre-leasing for the coming academic year stands at 91.7% with rental rates per bed averaging $1,299.

Financial Analysis

Effective gross income for the trailing period was $250,000, representing a 7.2% increase over the prior year. Pre-leasing for the coming academic year stands at 89.2% with rental rates per bed averaging $1,299. Management fees are calculated at 4.4% of collected revenue and are included in operating expenses. Net operating income is projected to grow at a compound annual rate of 7.5% over the hold period. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Amenities include study lounges, a rooftop terrace, 24-hour fitness and a game room.

FICTITIOUS SAMPLE DOCUMENT — all names, figures and entities are invented for classroom training use only

Trailing 12-Month Operating Statement (Detail)

Account	Nov	Dec	Jan	Feb	Mar	Apr	May	Jun	Jul	Aug	Sep	Oct	T-12
4290 Snow Removal	9,360	9,003	9,163	8,522	9,324	9,046	9,056	8,595	9,304	9,553	8,590	9,095	108,610
4300 Janitorial	7,367	8,009	7,389	8,366	7,999	7,562	7,665	8,095	7,552	7,651	8,342	7,845	93,843
4310 Pest Control	6,788	6,706	7,437	7,553	7,296	7,247	6,841	7,338	7,293	7,546	7,040	7,015	86,098
4320 Trash Removal	21,060	21,058	19,954	21,221	20,025	20,120	19,693	20,586	20,169	19,520	20,945	20,950	245,300
4330 Elevator Contract	2,852	3,064	3,107	2,824	3,075	2,934	3,165	2,852	2,855	3,060	2,815	2,882	35,487
4340 Fire & Life Safety	10,827	11,916	11,162	12,221	10,874	11,288	12,181	12,131	12,184	12,269	11,996	11,322	140,371
4350 Security	15,823	17,307	15,622	15,628	17,224	17,725	17,499	17,059	16,769	16,843	16,361	15,888	199,749
4360 Electricity - Common	19,854	17,756	19,433	19,083	18,260	18,822	19,244	19,167	18,626	17,765	18,945	17,555	224,510
4370 Gas - Common	16,755	16,983	17,444	17,853	18,056	16,491	16,416	18,280	16,390	17,581	16,507	18,113	206,870
4380 Water & Sewer	8,167	8,171	8,682	8,012	8,436	7,946	7,705	8,721	8,030	8,626	8,799	8,245	99,541
4390 Telephone/Internet	11,487	11,678	11,132	11,726	11,060	11,941	11,047	11,428	12,163	11,719	10,740	11,149	137,270
4400 Advertising	8,443	9,083	8,562	8,843	8,202	8,018	8,345	8,284	8,677	8,714	8,786	8,614	102,572
4410 Resident Events	13,381	13,327	12,817	12,146	13,280	12,725	11,865	13,365	12,459	11,997	13,396	13,312	154,070
4420 Office Supplies	20,233	19,252	19,460	18,352	19,945	19,092	18,782	19,311	18,502	19,439	18,459	18,815	229,642
4430 Legal & Professional	5,715	5,612	6,197	6,191	6,207	5,676	6,006	5,968	5,867	6,253	6,238	6,044	71,975
4440 Accounting & Audit	8,245	9,038	8,491	8,909	8,534	8,356	9,162	9,023	8,981	8,912	8,565	8,930	105,144
4450 Licenses & Permits	6,412	6,151	6,466	6,763	6,307	6,395	7,003	6,562	6,980	7,039	6,240	6,788	79,106
4460 Management Fee	12,662	12,409	13,620	12,605	13,394	13,608	12,941	13,387	12,671	12,297	13,391	12,784	155,770
4470 Property Insurance	21,007	19,056	18,966	18,836	18,710	20,719	19,384	18,856	19,066	19,668	20,666	19,993	234,926
4480 Real Estate Taxes	3,564	3,405	3,676	3,645	3,403	3,567	3,819	3,661	3,452	3,755	3,576	3,485	43,008
4490 Asset Management Fee	7,546	6,786	7,606	7,046	7,132	7,424	7,118	6,851	7,115	7,378	7,379	7,319	86,700
4500 Replacement Reserves	9,101	9,009	9,268	8,633	8,700	8,907	8,931	8,575	8,261	9,038	8,258	8,486	105,168
4510 Roof Repairs	19,718	19,899	20,228	20,321	19,652	19,467	18,510	19,545	20,709	18,421	19,758	20,229	236,458
4520 Parking Lot Repairs	16,757	14,913	15,594	15,427	16,789	16,544	16,897	17,051	16,741	16,984	15,983	16,297	195,977
4530 Signage	3,293	2,991	3,280	3,394	3,086	2,984	3,342	3,049	3,235	3,338	3,075	3,133	38,199
4540 Tenant Improvements	6,326	6,264	6,026	5,946	6,333	6,522	5,864	6,495	6,031	6,250	6,512	6,195	74,763
4550 Leasing Commissions	10,259	10,236	10,710	9,606	10,511	10,472	10,084	10,170	9,931	10,314	10,652	9,585	122,530
4000 Gross Potential Rent	158,006	181,421	177,847	163,234	171,224	172,115	174,135	175,873	170,053	161,965	169,724	162,197	2,037,792
4010 Loss to Lease	55,260	58,729	54,460	54,775	52,055	57,692	52,360	57,656	54,399	52,102	54,532	51,204	655,224
4020 Vacancy Loss	54,996	54,138	56,783	58,786	54,804	59,650	57,923	57,810	53,251	53,851	58,601	57,084	677,679
4030 Concessions	118,521	118,345	118,638	110,043	111,348	111,901	119,976	108,485	120,552	121,082	107,660	115,583	1,382,135
4040 Bad Debt	132,531	128,859	131,159	139,274	126,814	137,855	137,033	125,189	138,527	142,545	128,083	132,270	1,600,139
4050 Late Fees	58,705	63,402	63,275	60,463	61,536	64,130	63,685	66,280	58,950	59,850	66,474	60,737	747,487
4060 Utility Reimbursements	89,251	81,293	88,699	88,393	81,914	81,777	86,857	83,626	82,788	88,030	82,410	80,677	1,015,714
4070 Parking Income	139,274	141,849	141,713	144,886	134,920	150,098	134,025	151,825	134,494	152,838	137,867	144,365	1,708,155
4080 Application Fees	114,543	108,191	121,110	113,952	111,560	123,758	116,886	108,621	120,100	111,477	116,934	118,210	1,385,340
4090 Pet Rent	138,716	146,552	146,319	151,726	150,268	138,537	150,374	135,197	140,353	152,770	135,590	149,121	1,735,522
4100 Laundry Income	43,985	44,763	40,104	39,865	44,708	43,902	40,933	42,262	39,541	44,863	41,372	45,167	511,464
4110 Cable/Internet Revenue	105,969	108,192	106,391	110,063	100,946	108,970	104,611	114,269	102,178	110,848	104,378	112,245	1,289,060
4120 CAM Reimbursements	38,749	37,316	38,829	36,329	39,512	35,986	37,696	36,467	37,757	35,705	35,277	38,371	447,994
4130 Tax Reimbursements	48,183	50,739	51,404	52,072	50,890	49,986	49,085	53,155	52,582	52,975	53,872	53,618	618,563
4140 Insurance Reimbursemen	32,634	31,522	29,593	32,067	31,345	28,853	29,232	29,622	28,989	33,103	30,174	32,156	369,291
4150 Percentage Rent	58,827	62,249	65,856	59,888	63,458	61,225	60,797	60,597	65,671	63,478	57,750	61,707	741,503
4160 Misc. Income	59,863	61,262	59,728	62,271	60,223	66,171	60,673	65,218	63,960	65,520	65,854	58,001	748,744
4170 Payroll - Management	13,684	12,388	13,458	12,613	13,171	12,422	11,956	12,574	13,459	12,445	12,818	12,664	153,652
4180 Payroll - Leasing	9,160	10,148	9,493	10,243	9,287	9,462	9,256	9,923	9,952	9,518	10,063	9,270	115,774
4190 Payroll - Maintenance	3,679	3,914	3,782	3,682	3,958	4,060	3,793	3,685	3,692	3,635	3,809	3,778	45,468

Report generated 06/27/2023. Figures are unaudited and subject to change.

FICTITIOUS SAMPLE DOCUMENT — all names, figures and entities are invented for classroom training use only

Financial Analysis

Debt service coverage ratio was 7.88x on a trailing basis against a covenant minimum of 1.20x. Management fees are calculated at 7.3% of collected revenue and are included in operating expenses. The going-in capitalization rate of 6.77% reflects the in-place income and the stabilized occupancy assumption. Net operating income is projected to grow at a compound annual rate of 4.9% over the hold period. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income.

The community is leased by the bed on individual lease liability with parent guaranties and furnished units. Effective gross income for the trailing period was $457,000, representing a 5.4% increase over the prior year. Debt service coverage ratio was 7.10x on a trailing basis against a covenant minimum of 1.20x. Amenities include study lounges, a rooftop terrace, 24-hour fitness and a game room. Pre-leasing for the coming academic year stands at 95.2% with rental rates per bed averaging $1,299.

Management Commentary

On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 8 additional team members. Amenities include study lounges, a rooftop terrace, 24-hour fitness and a game room. The manager completes a monthly walk of the property and submits a variance report to the owner by the 36th business day. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. The community is leased by the bed on individual lease liability with parent guaranties and furnished units.

The community is leased by the bed on individual lease liability with parent guaranties and furnished units. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. Pre-leasing for the coming academic year stands at 94.5% with rental rates per bed averaging $1,299. The manager completes a monthly walk of the property and submits a variance report to the owner by the 5th business day.

Financial Analysis

The property is located 3 blocks from the main campus with a dedicated shuttle serving fall and spring terms. Debt service coverage ratio was 5.16x on a trailing basis against a covenant minimum of 1.20x. Management fees are calculated at 6.6% of collected revenue and are included in operating expenses. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income.

The property is located 5 blocks from the main campus with a dedicated shuttle serving fall and spring terms. Net operating income is projected to grow at a compound annual rate of 7.6% over the hold period. The going-in capitalization rate of 5.06% reflects the in-place income and the stabilized occupancy assumption. Debt service coverage ratio was 6.02x on a trailing basis against a covenant minimum of 1.20x. Operating expenses totaled $225,000 or approximately 39.97 per square foot, with real estate taxes representing the largest line item. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income.

Management Commentary

The manager completes a monthly walk of the property and submits a variance report to the owner by the 23th business day. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. The property is located 5 blocks from the main campus with a dedicated shuttle serving fall and spring terms. Collections for the period were 93.5% of billed charges, with bad debt of 4.1% of gross potential income. Pre-leasing for the coming academic year stands at 90.9% with rental rates per bed averaging $1,299.

Pre-leasing for the coming academic year stands at 89.9% with rental rates per bed averaging $1,299. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 25 additional team members. The property is located 3 blocks from the main campus with a dedicated shuttle serving fall and spring terms. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. The manager completes a monthly walk of the property and submits a variance report to the owner by the 5th business day.

Financial Analysis

Operating expenses totaled $86,000 or approximately 28.59 per square foot, with real estate taxes representing the largest line item. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Debt service coverage ratio was 7.06x on a trailing basis against a covenant minimum of 1.20x. Pre-leasing for the coming academic year stands at 89.7% with rental rates per bed averaging $1,299.

FICTITIOUS SAMPLE DOCUMENT — all names, figures and entities are invented for classroom training use only

Trailing 12-Month Operating Statement (Detail)

Account	Nov	Dec	Jan	Feb	Mar	Apr	May	Jun	Jul	Aug	Sep	Oct	T-12
4200 Payroll Taxes & Benefits	4,252	4,099	4,083	4,622	4,184	4,132	4,155	4,274	4,363	4,633	4,112	4,378	51,288
4210 Repairs - Plumbing	5,298	5,478	5,411	5,454	5,959	5,791	5,402	5,915	5,961	5,315	5,307	5,387	66,679
4220 Repairs - HVAC	8,292	7,808	8,574	8,617	8,394	8,323	8,560	8,755	8,556	7,877	8,262	8,424	100,441
4230 Repairs - Electrical	2,181	2,161	1,915	2,199	1,998	2,041	2,059	2,154	2,125	2,067	2,023	2,003	24,926
4240 Repairs - Appliances	4,630	4,293	4,555	4,338	4,586	4,468	4,387	4,307	4,570	4,790	4,871	4,757	54,553
4250 Painting & Decorating	10,885	11,342	11,351	11,800	12,118	10,897	12,430	11,842	11,656	12,187	11,904	10,925	139,336
4260 Flooring	12,592	11,682	11,613	12,759	11,265	12,004	12,006	12,055	11,424	12,842	12,715	11,256	144,212
4270 Make-Ready / Turnover	18,010	19,007	17,423	18,474	19,218	19,000	17,715	17,123	18,526	18,339	18,292	17,966	219,093
4280 Landscaping Contract	6,420	6,471	6,293	6,547	6,380	6,302	6,029	6,529	6,606	5,834	5,947	6,506	75,865
4290 Snow Removal	12,294	12,670	13,241	12,680	12,487	13,646	13,214	12,913	13,082	12,184	12,678	12,454	153,544
4300 Janitorial	15,808	17,484	15,872	16,544	15,830	17,219	16,169	15,471	15,557	15,614	15,687	17,293	194,548
4310 Pest Control	14,694	15,451	16,437	16,293	15,224	16,083	15,320	16,349	16,018	16,289	14,970	16,188	189,316
4320 Trash Removal	12,819	12,813	12,643	11,779	12,378	12,354	12,254	11,793	12,813	12,266	12,216	11,695	147,824
4330 Elevator Contract	16,740	15,769	15,716	16,725	15,720	16,486	16,829	16,691	16,296	16,700	15,776	16,026	195,475
4340 Fire & Life Safety	10,385	11,435	10,705	10,523	11,037	11,489	10,223	11,127	10,169	11,588	11,342	10,809	130,833
4350 Security	2,539	2,472	2,364	2,503	2,535	2,334	2,392	2,500	2,546	2,354	2,403	2,326	29,268
4360 Electricity - Common	4,330	4,193	4,215	4,056	4,135	3,896	3,965	4,146	4,236	3,866	4,098	4,121	49,256
4370 Gas - Common	15,779	16,039	16,418	15,562	16,790	15,120	17,059	16,187	15,131	15,591	16,561	15,878	192,117
4380 Water & Sewer	13,778	15,733	14,629	15,499	14,371	13,969	15,319	15,784	15,756	14,567	13,993	15,646	179,042
4390 Telephone/Internet	2,204	2,038	2,225	2,084	2,127	2,158	2,234	2,281	2,057	2,089	2,162	2,312	25,972
4400 Advertising	14,148	13,705	13,744	12,753	13,800	13,630	12,880	14,118	13,759	14,272	12,690	14,476	163,976
4410 Resident Events	3,947	3,776	4,183	3,763	4,282	3,786	4,245	3,855	4,071	3,997	4,040	3,912	47,857
4420 Office Supplies	4,719	4,430	4,391	4,516	4,858	4,638	4,493	4,374	4,914	4,576	4,503	4,476	54,888
4430 Legal & Professional	15,930	14,861	15,054	14,490	16,072	15,545	14,288	14,520	15,122	14,438	15,168	16,176	181,665
4440 Accounting & Audit	3,684	3,530	3,669	3,547	3,650	3,334	3,443	3,379	3,317	3,282	3,436	3,319	41,591
4450 Licenses & Permits	11,829	12,177	11,816	12,257	12,065	11,692	11,244	12,492	12,652	11,157	12,453	11,860	143,694
4460 Management Fee	6,284	6,136	6,126	6,095	6,890	6,890	6,602	6,762	6,522	6,965	6,098	6,644	78,015
4470 Property Insurance	9,715	9,290	9,929	8,816	8,965	9,281	9,152	9,844	9,351	9,734	9,381	9,430	112,887
4480 Real Estate Taxes	9,709	10,412	10,129	9,838	9,599	9,328	9,909	10,393	9,789	10,255	9,901	9,500	118,762
4490 Asset Management Fee	19,146	18,995	19,168	18,783	19,960	19,691	18,479	17,611	20,129	20,230	18,841	18,044	229,077
4500 Replacement Reserves	3,329	3,232	3,436	3,239	3,463	3,236	3,463	3,257	3,553	3,152	3,223	3,493	40,075
4510 Roof Repairs	11,439	11,802	11,876	12,014	11,639	12,301	11,838	11,229	11,438	11,880	12,226	11,225	140,907
4520 Parking Lot Repairs	8,478	8,538	8,398	8,917	9,150	8,789	8,650	8,866	8,370	8,207	9,120	9,010	104,493
4530 Signage	12,738	13,559	13,996	14,214	13,935	13,312	12,987	12,824	13,877	12,828	14,381	13,798	162,449
4540 Tenant Improvements	2,976	2,823	2,811	2,744	2,920	2,807	2,745	2,876	2,933	2,977	2,882	2,991	34,487
4550 Leasing Commissions	6,474	6,491	6,452	6,275	5,709	6,266	5,894	5,697	5,757	6,418	5,946	6,338	73,717
4000 Gross Potential Rent	169,156	163,664	165,643	161,427	178,700	158,496	163,984	166,165	175,212	164,321	162,145	177,354	2,006,268
4010 Loss to Lease	142,081	145,492	133,815	146,389	152,830	133,434	143,485	143,723	137,759	140,156	135,427	134,375	1,688,966
4020 Vacancy Loss	162,156	146,486	159,895	157,706	141,745	149,271	160,436	155,395	144,499	155,279	157,834	157,853	1,848,554
4030 Concessions	151,376	151,659	146,650	147,802	156,843	146,323	160,794	144,650	159,544	143,999	154,502	154,559	1,818,700
4040 Bad Debt	2,788	2,912	2,671	2,935	2,775	2,925	2,943	2,948	2,703	2,717	3,011	2,644	33,971
4050 Late Fees	83,648	86,543	92,189	86,490	81,806	82,575	84,051	84,960	90,498	89,701	88,784	83,124	1,034,369
4060 Utility Reimbursements	61,948	56,726	59,163	54,453	57,936	62,154	56,215	59,610	55,410	56,636	61,899	56,671	698,822
4070 Parking Income	105,695	94,883	95,582	92,671	102,224	93,560	104,601	99,357	96,768	96,030	99,855	96,218	1,177,444
4080 Application Fees	27,771	28,853	29,317	29,274	28,014	27,528	29,262	27,757	28,051	27,230	27,557	29,443	340,057
4090 Pet Rent	161,802	145,699	147,335	149,123	159,830	155,929	143,799	147,540	141,662	145,735	151,784	161,181	1,811,418
4100 Laundry Income	104,402	103,167	105,978	114,438	111,027	107,975	109,988	108,268	105,670	112,730	105,189	105,226	1,294,056

Report generated 06/27/2023. Figures are unaudited and subject to change.

FICTITIOUS SAMPLE DOCUMENT — all names, figures and entities are invented for classroom training use only

Summary and Notes

Operating Performance

A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Net operating income is projected to grow at a compound annual rate of 6.1% over the hold period. The going-in capitalization rate of 5.24% reflects the in-place income and the stabilized occupancy assumption. Operating expenses totaled $198,000 or approximately 36.58 per square foot, with real estate taxes representing the largest line item.

Net operating income is projected to grow at a compound annual rate of 5.9% over the hold period. The community is leased by the bed on individual lease liability with parent guaranties and furnished units. Effective gross income for the trailing period was $266,000, representing a 7.5% increase over the prior year. The going-in capitalization rate of 5.29% reflects the in-place income and the stabilized occupancy assumption. Pre-leasing for the coming academic year stands at 94.8% with rental rates per bed averaging $1,299. Operating expenses totaled $474,000 or approximately 22.35 per square foot, with real estate taxes representing the largest line item.

Management Commentary

The community is leased by the bed on individual lease liability with parent guaranties and furnished units. Service requests are tracked through a work-order system with an average completion time of 14 hours. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 19 additional team members. The manager completes a monthly walk of the property and submits a variance report to the owner by the 36th business day. Marketing efforts include digital listings, signage, broker outreach and a resident referral program.

Service requests are tracked through a work-order system with an average completion time of 20 hours. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 11 additional team members. Collections for the period were 88.9% of billed charges, with bad debt of 5.6% of gross potential income. Amenities include study lounges, a rooftop terrace, 24-hour fitness and a game room. The manager completes a monthly walk of the property and submits a variance report to the owner by the 39th business day. Pre-leasing for the coming academic year stands at 94.6% with rental rates per bed averaging $1,299.

FICTITIOUS SAMPLE DOCUMENT — all names, figures and entities are invented for classroom training use only